

The Gaza War

October 7, the IDF Campaign, and the Humanitarian Catastrophe Reshaping the Middle East

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Executive Summary

The Hamas attack of October 7, 2023 and Israel's subsequent military campaign in Gaza triggered a protracted negotiation effort spanning more than two years, a humanitarian catastrophe documented by human rights and UN bodies, and a cascade of regional destabilisation extending from Yemen's Red Sea attacks to the West Bank settlement surge. By June 2025, the conflict had killed more than 54,000 people according to Palestinian officials FT[2025-06-06], reduced the enclave to what observers described as a rubble wasteland FT[2025-11-10], and generated a reconstruction bill that the EU, UN, and World Bank jointly estimated at \$71.4bn over the next decade FT[2026-04-21]. Negotiations mediated by Qatar, Egypt, and the United States produced a series of partial agreements and collapses without achieving a permanent ceasefire by the report date. The conflict exposed structural tensions in the international legal order, severely degraded Gaza's civilian infrastructure, and suspended any near-term prospect of a negotiated Israeli-Palestinian political settlement.

Part I — Hostage Negotiations and Ceasefire Efforts

The first ceasefire arrangement emerged within weeks of the October 2023 attack. A four-day truce brokered by Qatar, Egypt, and the United States provided for the release of at least 50 hostages from Gaza in exchange for 150 Palestinian prisoners held in Israeli jails. Thai nationals were among the first released, with 12 Thai hostages freed in a separate arrangement confirmed by Thailand's prime minister CNA[2023-11-25]. By that point the Hamas government estimated the war had killed around 15,000 people, thousands of them children CNA[2023-11-25].

Analysts identified a structural contradiction at the core of Israel's war aims. Prioritising the destruction of Hamas and the return of hostages were described as incompatible objectives: releasing hostages required negotiation with Hamas, while destroying Hamas precluded a negotiating counterpart CNA[2023-11-28]. The initial truce was followed by resumed combat, and the effort to achieve a permanent ceasefire ran into repeated obstacles over the months that followed. By August 2024, a permanent ceasefire remained elusive despite growing international pressure; then-US Secretary of State Antony Blinken completed his ninth visit to the Middle East without a breakthrough CNA[2024-08-22].

Hamas offered a 60-day truce and hostage release in August 2025, brokered through Egypt and Qatar, that would exchange hostages for Palestinian prisoners. An Israeli political source insisted all captives must be freed for the war to end CNA[2025-08-20]. Israel's Defence Minister simultaneously threatened that Gaza City would be razed unless Hamas agreed to end the war on Israel's terms and release all remaining hostages CNA[2025-08-24].

By late September 2025, US President Donald Trump had advanced a 20-point peace proposal requiring the return of all hostages, living and dead, within 72 hours of a ceasefire CNA[2025-09-30]. An October 2025 truce came under severe strain when Israel struck Gaza and accused Hamas of ceasefire violations, describing it as the gravest test of the agreement to date; Hamas's armed wing said it remained committed to the ceasefire CNA[2025-10-19]. Under that arrangement, Hamas had 47 remaining Israeli hostages to hand over CNA[2025-10-12].

Negotiations remained unresolved into 2026. As of late July 2026, Hamas officials stated that Israel must approve the Trump agreement before Hamas would implement it, while displaced Palestinians in tent encampments in Gaza City urged Trump to compel Israel to abide by a deal CNA[2026-07-31]. The first phase of an earlier truce had expired in March 2025 with negotiations on the next stage — a permanent ceasefire — having made no decisive progress CNA[2025-03-01].

Part II — Humanitarian Conditions and Human Rights

All universities in Gaza were damaged or destroyed through the course of the campaign. Students and 441 educational staff were killed. Health facilities were destroyed or damaged, the collapse of the healthcare system depriving pregnant women and girls of access to adequate care. Parts of the Strip were rendered uninhabitable, constituting ethnic cleansing in some areas and violating Palestinians' right to return, according to Human Rights Watch [RAG: HUMAN_RIGHTS_RAG — HRW World Report 2025: Israel and Palestine (2025-01-01)].

The scale of the physical destruction was extensive. Approximately 90,000 tonnes of munitions had been dropped on Gaza, according to Israeli government figures acknowledged in contemporaneous reporting FT[2026-01-23]. The enclave was described as a rubble-strewn wasteland, with the vast majority of Palestinians concentrated in areas where much of the built environment had been reduced to ruins FT[2025-11-10].

Part III — Reconstruction: Costs and Governance

The EU, UN, and World Bank issued a joint report assessing that Gaza needs \$71.4bn for reconstruction over the next decade FT[2026-04-21]. The assessment covered restoring services and income, food security, living conditions, livelihoods, equality, and other dimensions of the civilian economy. An earlier separate estimate had valued reconstruction requirements at \$71.4bn, with the report describing the scale and extent of deprivation as significant FT[2026-04-21].

On the political side, Jared Kushner advanced a \$30bn "New Gaza" vision in January 2026, proposing a phased reconstruction of the Palestinian enclave that critics derided as a "Gaza Riviera" scheme FT[2026-01-23]. The plan was contingent on a secured halt to the fighting.

Boston Consulting Group's involvement in modelling Gaza's reconstruction finances attracted scrutiny. The firm had worked on a reconstruction financial model, though questions arose about the circumstances of that engagement FT[2025-07-08].

The Atlantic Council's 2026 CEO Dialogue identified a core structural problem: reconstruction corridors might increasingly be treated as a "returns product" tied to post-conflict recovery, but reconstruction without credible governance repels private capital. The framework needed to attract institutional investors into post-conflict environments remained absent [RAG: MILITARY_RAG — Atlantic Council: Perspectives from the 2026 CEO Dialogue (2026-06-24)].

Part IV — West Bank Settlement Expansion

Concurrent with the Gaza campaign, Israel's government accelerated settlement construction in the occupied West Bank. The Israeli cabinet approved the construction of 19 new settlements, with Finance Minister Bezalel Smotrich's far-right faction declaring the moves an "act of moral Zionism" aimed at thwarting Palestinian statehood aspirations FT[2025-12-22]. Smotrich stated that within three years his government had regulated 69 new settlements — a record FT[2025-12-22].

In June 2025, Israel announced plans for 22 new settlements in what was described as the single biggest expansion in the West Bank, involving the construction of new settlements under international law deemed illegal FT[2025-06-06]. The International Court of Justice was noted to recognise "Palestinian self-determination and statehood" as the aspiration of the Palestinian people FT[2025-12-22].

The settlement push was characterised by analysts as a creeping annexation strategy. Violence by Jewish settlers against Palestinians surged alongside the expansion FT[2025-12-22]. The West Bank situation was described as accelerating at an alarming rate, destroying the foundations on which a Palestinian state might be built FT[2025-06-06]. The Ma'ale Adumim settlement lying between Jerusalem and the Dead Sea exemplified the pattern of building what would amount to a new neighbourhood in an already sprawling settlement, changing the ethnic balance of an occupied region in a manner deemed illegal under international law FT[2025-08-15].

Netanyahu's push toward de facto annexation of the West Bank, including the approval of dozens of new settlements illegal under international law, was criticised by analysts who argued it fed cycles of militancy and extremism FT[2025-09-23].

Part V — Regional Escalation

The conflict's regional dimensions were assessed by US intelligence as creating significant spillover risk. The ODNI's Annual Threat Assessment noted that Iranian proxies and partners were conducting anti-US and anti-Israel attacks in support of Hamas, while Israel and Iran were calibrating actions to avoid escalation into a direct full-scale conflict. The US was viewed by regional partners as the power broker best positioned to deter further aggression and end the conflict before it spread [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2024 (2024-02-05)].

The Houthi movement in Yemen intensified instability in the region by threatening critical maritime routes through the Red Sea and Gulf of Aden, assaulting Israeli targets with missiles and drones as part of its declared solidarity with Gaza [RAG: CONFLICT_RAG — undated].

Iran's own military spending was recorded at 10% lower than 2023 but still 21% higher than in 2015, with persistently high inflation driven in part by US economic sanctions that restricted Iran's nuclear-related oil exports [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2024 (2025-01-01)].

Israel's military expenditure rose sharply during the conflict. Military spending as a share of GDP rose from 5.4% in 2023 to 8.8% in 2024, giving Israel the second highest military burden in the world behind Ukraine. Spending rose from an initial budget of \$37.1bn in 2024, driven by the escalation with Hezbollah on top of the ongoing war in Gaza [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2024 (2025-01-01)]. By 2025 data, Israel's military expenditure was estimated at \$83.2bn, 1.4% higher than in 2024 and 12% higher than in 2016, though SIPRI also recorded a 4.9% decrease in one measured year [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2025 (2026-01-01)]. Israel's military spending rose 135% over the decade 2015–24 [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2024 (2025-01-01)].

Across the broader Middle East, arms imports fell by 13% between 2016–20 and 2021–25. Three of the world's top 10 arms recipients in 2021–25 were in the region: Saudi Arabia (rank 3), Qatar (rank 4), and Kuwait (rank 9). More than half of arms imports to the Middle East came from the USA, at 54% [RAG:

Part VI — International Legal Dimensions

In 2024, 54 states and 3 intergovernmental organizations made submissions to the International Court of Justice on an advisory opinion the UN General Assembly had requested on the legal status of Israel's prolonged occupation and legal consequences of its abuses against Palestinians. Public hearings were scheduled to open at the ICJ on February 19, 2024 [RAG: HUMAN_RIGHTS_RAG — HRW World Report 2024: Israel and Palestine (2024-01-01)].

Conclusion

The Gaza war produced a humanitarian toll that reshaped regional and international politics across a period exceeding two years. The \$71.4bn reconstruction requirement assessed by the EU, UN, and World Bank FT[2026-04-21], the killing of more than 54,000 people by Palestinian official counts FT[2025-06-06], the acceleration of West Bank settlement expansion to record levels FT[2025-12-22], and the failure of successive ceasefire efforts to achieve a durable end to the conflict CNA[2026-07-31] together defined the war's strategic legacy as of mid-2026. The reconstruction problem remained inseparable from the governance problem: private capital would not flow without credible institutions [RAG: MILITARY_RAG — Atlantic Council: Perspectives from the 2026 CEO Dialogue (2026-06-24)], and no institution with sufficient legitimacy and security capacity had emerged to administer a post-war Gaza. The conflict's fundamental political questions — the "day after" governance, the two-state framework, the fate of the remaining hostages — remained unresolved.

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